GMS WEEKLY

Your Source for Recycling News

June 9th, 2023
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Week 23

Highlights:

- **L/C pause.**
- **India well placed.**
- **Lacking supply.**
- **Production slows.**
- **China busy.**
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QUOTE of the WEEK

"You're never born into a happy life, nor do you find one along the way, you just have to make one."

– Anonymous

MARKET COMMENTARY

RESTRICTED!

Despite an overall neutral-to-positive budget in Bangladesh last week, the Central Bank has curiously decided to impose restrictions on L/Cs once again, reportedly due to the ongoing shortage of foreign currency / U.S. Dollar reserves in the country, as inflation / currency depreciations continue to hammer away at a majority of the global recycling destinations. Discussions are ongoing locally in order to address / resolve this situation. For the time being, however, there has been a pause on fresh sales into Bangladesh as without vessel financing / L/Cs in place, it is simply not possible to procure any tonnage.

Indian fundamentals have also improved, having seen some positive moves on the Indian Rupee over the last few weeks, in addition to steel gains that are providing End Buyers with further encouragement and confidence to improve some of their previously lowish levels on offers. This might eventually help those garish Cash Buyers who have been offering above market levels on some of the recent units.

For now, Pakistan remains the only sub-continent destination that is totally out of the picture, and this is due to the ongoing political unrest and economic calamity that has seen its currency lose much of its value over the last few years.

At the West end, Turkey passes through a reflection of last week, with opposing fundamentals and a Lira that's essentially fallen off the wagon.

In the overall market today, the only thing lacking is a decent supply of tonnage to keep End Buyers busy and their yards occupied, as we head into the summer / holiday season and many ship owners and yard laborers head on holidays during the warmer / monsoon months.

Finally, after a busy first quarter of recycling, a minimal number of tankers have been proposed so far this year as containers seem to have all but vanished from the market, with over 25 container units sold for varying degrees of HKC recycling. Even dry bulk supply has started to dwindle (apart from a busy Far East / China market that is still shedding older units) and so until more tonnage is introduced, we can expect all of the markets to remain sluggish.

For week 23 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Stable	585 / LDT	615 / LDT	635 / LDT
2	India	Stable	530 / LDT	550 / LDT	570 / LDT
3	Pakistan*	Weak	510 / LDT	530 / LDT	550 / LDT
4	Turkey	Steady	320 / LDT	330 / LDT	340 / LDT

**Subject L/C approval*

BANGLADESH

TURNING (TO) DRY!

Decent influx.

A positive budget with virtually no overall impact or increased duties on the ship recycling sector has been subsequently tempered by the news out of Bangladesh this week, that fresh L/C approvals will be temporised by the Central State government bank, reportedly due to the ongoing shortage of foreign currency / U.S. Dollar reserves in the country.

LC concerns remain.

Consequently, and even though there has been a moderate influx of vessels from the Far East (Chinese Owners in particular), as of now, there are no easy means for Chattogram Buyers to satisfy their demand with fresh sales – given these most recent L/C hurdles.

Of course, much of the older dry bulk tonnage has tended to end up in Chinese hands (as is the case with older container units these days) and as such, it is perhaps only logical that we are starting to see owners from this market shed vessels - especially as these units approach survey times.

Even though in the past, Chattogram Buyers have had more success in negotiating acceptable L/C / MOA levels with the Central Bank in order to import tonnage, these most recent L/C and financing concerns therefore present a new set of hurdles for open and available Recyclers as reportedly, a brewing demand for steel amidst ongoing construction projects across the country is providing enough incentive for local Recyclers to offer afresh on tonnage.

As such, all those concerned locally (and even the industry at large) will be eagerly monitoring discussions with the Central Bank in the week(s) ahead, to see if sales into Bangladesh can resume at pace once again.

NO MARKET SALES REPORTED

INDIA

APPRECIATION!

An appreciation in the Indian Rupee over the past few weeks has given Alang Buyers a source of comfort, especially as all currencies from the major recycling destinations faced depreciations (some notable) against the U.S. Dollar this week.

Source of comfort.

Indian local steel plate prices also improved by the tune of about USD 13/Ton this week, recovering / regaining a portion of the losses over the previous few weeks.

Sales have been hard to come by into India of late as the container HKC sales that we had seen at the start of the year have all but dried up. Owners have continued to trade or have even sold their units on for further trading, especially as charter rates in this particular sector picks up again.

Supply starved.

Plummeting Chinese steel plate prices over recent weeks that led to negatively positioned LME futures (as a result) have remained a lingering cause for caution in the local market.

However, as supply remains starved heading into the summer months, it may not be too much to worry about just yet.

NO MARKET SALES REPORTED

PAKISTAN

IDLE SUMMER!

Inert.

An inert summer ahead seems a certainty for the Pakistani market, that undoubtedly has other things on its mind than ship recycling. Political and economic concerns still reign supreme in the country, and until one (financial) or both of these items can be stabilized, we are unlikely to see any sales take place into a beleaguered Gadani market.

Fundamentally, the Pakistani market remains in a terrible shape, given that local steel plate prices continue to flatline for months on end and the Pakistani Rupee nosedives past PKR 286.75.

Uncertainty reigns.

Even local anchorage is reflecting the state of current affairs as despite a couple of units having arrived Gadani's waterfront over the last couple of months, not a single ship has actually beached in Pakistan since the end of January.

As such, even though the local focus still falls on the dwindling supply of ships, L/C concerns – the type that have beset Bangladesh for much of this year – are the key obstacle in importing and getting ships successfully beached at the end of the day.

NO MARKET SALES REPORTED

TURKEY

WEEKLY MIRROR!

In alliance with the state of affairs from last week, Turkey sails through a mirror week this week, with local fundamentals travelling in opposite directions.

TRY 23.50!!!!

While import and local steel plate prices remain relatively unchanged from last week, the Lira has depreciated in truly spectacular fashion this week. Only last week was the industry were worried about the Lira breaching TRY 20 against the U.S. Dollar (and it eventually breached TRY 21) , this week, the Lira breezed past TRY 23.50, only to close out the week at a staggering TRY 23.35.

Quiet Summer?

As such, and mixed in with the global shortage in the supply of meaningful tonnage, Turkey seems destined for a quieter summer – especially until their fundamentals are sorted and supply comes around.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *The Earth used to have a twin planet named Theia, which was about the size of Mars. Theia crashed into the earth. Much of the planet was absorbed into the earth, but a small chuck of it flew off and got stuck in orbit, creating our moon.*
- *Since at least 500 B.C.E., no properly educated person has believed the Earth is flat.*
- *Earth is actually the only place in the solar system where water exists in all three states (solid, liquid, gas).*
- *Thunder is just the sound lightning makes. Light travels faster than sound, so we see the lightning before we hear the thunder.*
- *Thunder is extremely hard to hear if you're more than twelve miles away from the storm.*
- *The closer you are to a storm, the closer together the thunder and lightning will be.*
- *Astraphobia is the fear of thunder and lightning.*
- *Philosophers used to believe that thunder was the sound of clouds colliding.*
- *The Andromeda Galaxy is the largest galaxy in the Local Cluster and it is coming towards the Milky Way at a speed of 100 to 140 kilometers a second.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha	June 02 – June 10 June 14 – June 22

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha	June 04 – June 07 June 17 – June 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
June 22 – June 24 – Dragon Boat Festival	June 29 – July 01 – Eid Ul Azha	June 27 – July 01 – Kurban Bayrami

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ALANG - Port Position as of June 09, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Enam	6,819	Container	Beached June 03
2	Kumul Arrow	10,998	General Cargo	Beached June 03
3	Maersk Atlantic	5,914	Container	Beached June 08
4	MSC Lucia	8,911	Container	Beached June 02
5	Novo 23	1,885	Fish Factory	Beached June 02
6	Scanly (Under Tow)	1,571	Dumb Barge	Beached June 04
Total Tonnage		**36,098**		

CHATTOGRAM - Port Position as of June 09, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Blue Ocean	4,361	Container	Beached June 08
2	Bodr	926	General Cargo	Beached June 07
3	Fortune	9,730	Woodchip Carrier	Beached June 07
4	Kai Hang 3	3,906	Container	Beached June 04
5	Meratus Makassar	5,455	Container	Arrived June 08
6	Ocean Great	7,290	Bulk / Log Carrier	Beached June 03
7	Shang Hang 68	6,719	General Cargo	Beached June 07
8	Vasi Star	7,771	Container	Beached June 05
9	Winwin	2,076	Reefer	Beached June 04
10	Xaing Jiang 6	7,290	Bulk Carrier	Beached June 04
Total Tonnage		**55,524**		

GADANI - Port Position as of June 09, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
	No new vessels reported.			
Total Tonnage		**-**		

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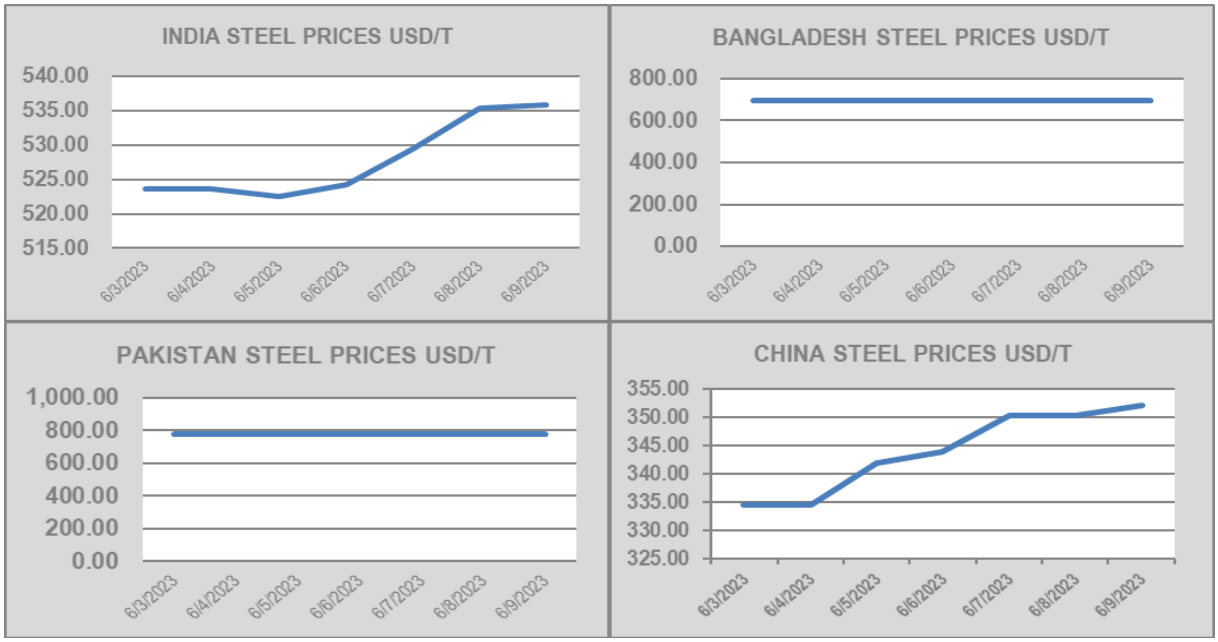
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
6/3/2023	523.57	43,100.00	777.39	220,000.00	695.24	73,000.00	334.67
6/4/2023	523.57	43,100.00	777.39	220,000.00	695.24	73,000.00	334.67
6/5/2023	522.56	43,200.00	777.39	220,000.00	695.24	73,000.00	342.01
6/6/2023	524.21	43,300.00	777.39	220,000.00	695.24	73,000.00	344.00
6/7/2023	529.38	43,700.00	777.39	220,000.00	695.24	73,000.00	350.44
6/8/2023	535.43	44,200.00	777.39	220,000.00	695.24	73,000.00	350.44
6/9/2023	535.89	44,200.00	777.39	220,000.00	695.24	73,000.00	352.25



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